

26STCV09544 26STCV09544

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Case Number: 26STCV09544 Hearing Date: August 10, 2026 Dept: 406

AMANDA PEREZ, et al.,

Plaintiffs,

v.

GLOBAL INTEGRITY REALTY CORPORATION,

Defendant.

Case No.: 26STCV09544

Hearing Date: August 10, 2026

[TENTATIVE]

order RE:

defendant's demurrer to complaint

BACKGROUND

On March 25, 2026, Plaintiffs Amanda

Perez, Levi Cephas, Amber Thatcher, Christian Peel, Edward Revelez, and Alexa

Moreno filed this action against Defendant Global Integrity Realty Corporation.

The complaint asserts claims for (1) negligence, (2) violation of the UCL, (3)

violation of the CLRA, (4) invasion of privacy, (5) false advertisement, and

(6) fraud.

The complaint alleges that Defendant obtained consumer reports about Plaintiffs without providing them with the notices required under the Investigative Consumer Reporting Agencies Act (ICRAA). The complaint alleges that Defendant's deliberate actions violated Plaintiffs' privacy and entitles Plaintiffs to actual damages, statutory damages, and punitive damages.

On June 24, 2026, Defendant filed the instant demurrer to the complaint. Plaintiffs filed an opposition on July 27, 2026. Defendant filed a reply on August 3, 2026.

LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc., § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "California law emphasizes ultimate fact pleading (with some exceptions, notably for fraud and related torts) 'in ordinary and concise language,' and the test for adequacy is not absolute but 'whether the pleading as a whole apprises the adversary of the factual basis of the claim.'" (Lim v. The.TV Corp. Internat. (2002) 99 Cal.App.4th 684, 690.)

MEET AND CONFER

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., §§ 430.41, 435.5.) The Court finds that Defendant has satisfied the meet and confer requirement. (See Taylor Decl.)

DISCUSSION

I.

Res Judicata

“Res judicata or claim preclusion

precludes the relitigation of a cause of action that previously was adjudicated in another proceeding between the same parties or parties in privity with them.

Res judicata applies if (1) the decision in the prior proceeding is final and on the merits; (2) the present proceeding is on the same cause of action as the prior proceeding; and (3) the parties in the present proceeding or parties in privity with them were parties to the prior proceeding. Res judicata bars the litigation not only of issues that were actually litigated but also issues that could have been litigated.” (Federation of Hillside & Canyon Assns. v. City of Los Angeles (2004) 126 Cal.App.4th 1180, 1202, internal citations omitted.)

Here, Plaintiffs filed an earlier action against Defendant for violation of ICRAA, arising from the same facts—Amanda Perez, et al. v. Global Integrity Realty Corporation (25STCV00772). The Court denied Plaintiffs’ motion to amend the complaint to add the same six counts that Plaintiffs are presently asserting. Subsequently, the Court granted Plaintiffs’ motion for summary adjudication. Judgment was entered accordingly on June 5, 2026.

The complaint in the instant action is based on facts identical to those alleged in the earlier action and seeks recovery for the same injury. Thus, the instant claims should have been asserted in the prior action. The final judgment in the earlier action forecloses Plaintiffs from bringing a new action on the same cause of action. Res judicata exists precisely to prevent this kind of piecemeal litigation. Therefore, the claims are barred by res judicata.

Even if the claims were not barred by res judicata, they would independently fail on the merits, as discussed further below.

II.

Negligence

The elements of negligence are: (1) a duty to exercise ordinary care; (2)

breach of that duty; (3) causation; and (4) damages. (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.)

Here,

the complaint alleges that Defendant owed Plaintiffs a duty of care to comply with ICRAA and breached that duty by violating ICRAA. (Compl. ¶¶ 21-23.) As a result of Defendant's breach, Plaintiffs allegedly suffered damages consisting of "emotional distress, the invasion of privacy rights, and the denial of reports that Plaintiffs had a statutory right to obtain, which harmed Plaintiffs rights in those property interests." (Id., ¶ 26.)

Defendant

argues that the complaint fails to allege any injury or damages. The Court agrees. The complaint includes nothing more than conclusory allegations that are also legally untenable. Specifically, as discussed further below, Plaintiffs have no valid claim for invasion of privacy nor a cognizable property interest in their consumer reports. A bare reference to "emotional distress" is a legal conclusion untethered to the allegations, not an ultimate fact. Thus, Plaintiffs have failed to plead damages. Accordingly, the first cause of action fails as a matter of law.

III.

UCL

A UCL claim may only be pursued by "a person who has suffered injury in fact and has lost money or property as a result of the unfair competition." (Bus. & Prof. Code, § 17204.) "A private plaintiff must make a twofold showing: he or she must demonstrate injury in fact and a loss of money or property caused by unfair competition." (Yeh v. Barrington Pacific, LLC (2026) 117 Cal.App.5th 1303, 1324, emphasis in original.)

Here, the UCL claim is premised on

Defendant's alleged violations of ICRAA and Civil Code section 1950.6.

Plaintiffs allege that they lost money because they were deprived of a \$30 application processing fee while Defendant failed to provide them with a copy of their credit reports. (Compl. ¶¶ 30-31.)

The Court in Yeh rejected

this very argument: "Plaintiffs urge in this regard that they were harmed

because they were required to pay for a report that they were not given a copy of. We do not agree.” (Yeh, *supra*, 117 Cal.App.5th at p. 1324.) “The application did not suggest that the fee was for a consumer report to be provided to the applicant.” (Ibid., emphasis in original.) “[T]he plaintiffs received precisely what they paid for: the processing and consideration of their rental applications, which resulted in their approval as tenants.” (Ibid.)

Similarly, there is no allegation in this case that Plaintiffs paid \$30, or any amount, to receive a copy of their credit reports. Instead, the \$30 was an application screening fee, and it is undisputed that Plaintiffs’ applications were indeed screened and approved. Thus, as in Yeh, Plaintiffs “received precisely what they paid for.” (Yeh, *supra*, 117 Cal.App.5th at p. 1324.) As a result, the payment of the \$30 application fee does not constitute an injury in fact sufficient to confer standing under the UCL. (Ibid.)

While Yeh concerned an ICRAA claim, Plaintiffs’ theory under Civil Code section 1950.6 fares no better. The complaint alleges that Plaintiffs suffered monetary harm because Defendant collected the \$30 application fee without providing Plaintiffs with a copy of their consumer reports as required by section 1950.6(f). (Compl. ¶ 29.) However, ICRAA similarly requires production of a consumer report, yet the court in Yeh found that the failure to provide one did not constitute an injury in fact: “The statutory obligation to provide a report under the ICRAA exists to ensure transparency, not to confer a compensable property right or guarantee any economic benefit.” (Yeh, *supra*, 117 Cal.App.5th at p. 1324.) Similarly, nothing in section 1950.6 suggests that the application fee paid under that statute confers a property right in the copy of a consumer report.

Instead, under section 1950.6, “[t]he amount of the application screening fee shall not be greater than the actual out-of-pocket costs of gathering information concerning the applicant, including, but not limited to, the cost of using a tenant screening service or a consumer credit reporting service, and the reasonable value of time spent by the landlord or their agent in obtaining information on the applicant.” (Civ. Code, § 1950.6(b).) This makes clear that the purpose of the application fee is to compensate the landlord for processing the application. The fee is not for prospective tenants to purchase a copy of their consumer report. Thus, as with

ICRAA, the failure to provide a consumer report under section 1950.6 does not result in an injury in fact.

Plaintiffs do not otherwise allege that Defendant overcharged the fee for expenses that were not actually incurred (Civ. Code, § 1950.6(b)), charged a fee while knowing that no rental unit was available (id., § 1950.6(c)), failed to provide a receipt for the fee paid (id., § 1950.6(d)), or retained the fee despite not performing a background check or credit check (id., § 1950.6(e)). The only violation alleged in the complaint is the failure to provide a copy of the consumer report under section 1950.6(f). For the reasons stated above, this violation does not confer standing under the UCL.

In sum, the second cause of action fails as a matter of law.

IV. CLRA

Plaintiffs do not contest the demurrer to the third cause of action. Therefore, the demurrer is sustained as to the third cause of action.

V. Invasion of Privacy

“A privacy violation based on the common law tort of intrusion has two elements. First, the defendant must intentionally intrude into a place, conversation, or matter as to which the plaintiff has a reasonable expectation of privacy. Second, the intrusion must occur in a manner highly offensive to a reasonable person.” (Hernandez v. Hillsides, Inc. (2009) 47 Cal.4th 272, 286.)

Here, there is no allegation that Plaintiffs did not expect a background check or credit report to be conducted as part of their rental applications. There is no allegation that the credit report intruded into a matter highly offensive to a reasonable person. There is no allegation that Plaintiffs' information was improperly disseminated or otherwise used for an improper purpose. Consumer credit reports are routine in the rental context, and there is no allegation that Defendant obtained

information beyond what is proper or necessary.

The dispute stems solely from the manner in which Plaintiffs were notified about the report and their ability to obtain a copy. However, while Defendant's failure to properly notify Plaintiffs or to provide a copy of their consumer reports may have violated certain statutes, Defendant did not invade Plaintiffs' privacy as that tort is defined. (See Hernandez, supra, 47 Cal.4th at p. 286.) Plaintiffs correctly note that ICRAA does not preclude them from pursuing an independent claim for invasion of privacy. (See Civ. Code, § 1786.52.) However, Plaintiffs must still properly plead the elements for that claim, which they have not done.

In sum, the fourth cause of action fails as a matter of law.

VI.

False Advertising

The false advertising law prohibits the public dissemination of "any statement, concerning that real or personal property or those services, professional or otherwise, or concerning any circumstance or matter of fact connected with the proposed performance or disposition thereof, which is untrue or misleading." (Bus. & Prof. Code, § 17500.)

The complaint contains no allegation of false advertising as defined under section 17500. There is no allegation that Defendant publicly disseminated untrue information regarding real or personal property or the performance of services. This claim is simply based on Defendant's failure to comply with the notice provisions of ICRAA. (See Compl. ¶ 56.) Defendant did not falsely advertise anything.

Therefore, the fifth cause of action fails as a matter of law.

VII.

Fraud

"The elements of fraud that will give rise to a tort action for deceit are: '(a) misrepresentation (false

representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974, quoting Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.) Fraud must be pleaded with specificity rather than with general and conclusory allegations. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made. (Lazar, supra, 12 Cal.4th at p. 645.) The complaint must plead "the time, place, and contents of the false representations, as well as the identity of the person making the misrepresentation and what he obtained thereby." (State ex rel. Edelweiss Fund, LLC v. JPMorgan Chase & Co. (2023) 90 Cal.App.5th 1119, 1137.)

Here, the complaint contains none of the specificity required for pleading a fraud claim. (See Compl. ¶¶ 60-68.) The complaint does not identify the content of the statements or the how, when, where, to whom, and by what means.

Moreover, the fraud claim is based on the allegation that Defendant represented it had complied with ICRAA while threatening to sue Plaintiffs for malicious prosecution. (Compl. ¶ 61.) In other words, the alleged statements were made by Defendant in defense against Plaintiffs' claims and/or in anticipation of Defendant filing its own claim. Such statements are privileged under Civil Code section 47(b).

In sum, the sixth cause of action fails as a matter of law.

CONCLUSION

Defendant's demurrer is SUSTAINED without leave to amend.